

AI Customer Churn Analysis Report

Customer churn refers to the loss of customers over time. It is a critical business problem in industries like telecom, banking, and SaaS.

Key Factors Affecting Churn:

1. Tenure:

Customers with low tenure (less than 6 months) are more likely to churn because they are not fully engaged.

2. Monthly Charges:

Higher monthly charges increase the probability of churn, especially if customers feel they are not getting enough value.

3. Contract Type:

Month-to-month contracts have the highest churn rates, while long-term contracts (1 year or 2 years) reduce churn.

4. Payment Method:

Electronic check users tend to churn more compared to credit card or bank transfer users.

5. Customer Support:

Poor support experience leads to higher churn.

Business Strategies to Reduce Churn:

- Offer discounts to new customers

- Improve onboarding experience
- Provide better customer support
- Encourage long-term contracts
- Analyze customer feedback

Conclusion:

By using machine learning models and data analysis, companies can predict churn early and take proactive steps to retain customers.